Article | 2 June 2026 FX UNITED KINGDOM UNITED STATES

Webinar: War, oil, and stagflation – The central bank stress test

Join ING s economists and strategists for a live webinar on 8 June to discuss the widespread fallout of the Iran war and the difficult choices ahead for global central banks. Sign up here

If central banks were hoping for clarity on the Middle East by their June decisions, they're likely to be left bitterly disappointed. Energy prices are down but the Strait of Hormuz remains far from open. Inflation is climbing and with every passing day, supply chains become ever more disrupted. Yet economies, particularly in Europe, are starting to show the strain. The case for rate hikes is far from clear-cut.

Join ING's economists and strategists for a live 45 minute discussion of the forthcoming central bank decisions. You'll learn:

- Why an ECB rate rise looks like a done deal in June – and why this could be a one-off
- The outlook for growth and inflation across the US and Europe
- Whether the Fed could really hike rates this year – and why officials are turning more hawkish
- Why the Bank of England is proving more reluctant to hike rates than the ECB and why a hike is far from guaranteed
- Where EUR/USD could trade over the summer in different oil price scenarios

Details

Date: Monday 8 June

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 45 minutes, including Q&A

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 1 June 2026

COMMODITIES, FOOD & AGRI

Risks to agri markets look underpriced as Hormuz crisis drags on

Despite talks to reopen the Strait of Hormuz, concerns over fertiliser prices and availability continue to rise, and in our view, agri-commodity markets have not fully priced in these risks. While the impact is likely to be uneven and less severe in Europe, disruption could still build over time, requiring companies to manage supply risks proactively

Strait of Hormuz closure continues to feed fertiliser concerns

The impact of the conflict in the Middle East on fertiliser and agri markets is probably best described as a tragedy unfolding in slow motion. A major part of global fertiliser and fertiliser feedstock remains exposed. While an extension of the ceasefire could see a resumption in flows, the outlook is likely to remain fragile as a more permanent deal could be challenging to secure.

The global risks were highlighted again recently, with the Food and Agriculture Organization warning of 'the beginning of a systemic agrifood shock that could trigger a severe global food price crisis'. The UN Agency is specifically concerned about countries in Africa and parts of Asia. In our view, the situation is less severe for Europe, although it is clear that risks persist for European companies over the next 12 months. While current market conditions suggest limited risk of an immediate price spike, underlying pressures may still build over time if supply constraints persist.

Both farmers and policymakers react to fertiliser shock

The key concern is that higher fertiliser prices will reduce usage, which could weigh on crop yields and tighten agricultural supply over time.

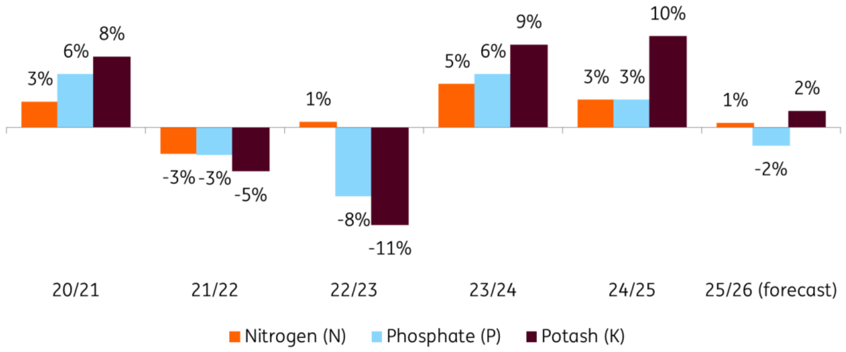
Compared to 2022, fertiliser affordability (the ratio between fertiliser and crop prices) has deteriorated sharply, creating a stronger incentive for farmers to reduce application rates. As a result, the International Fertilizer Association expects usage to decline in the 2026/27 season.

The impact is unlikely to be uniform, however, as farmers use different types of fertiliser to support yields, reproduction and resilience. Previous shocks show that demand for nitrogen-based fertiliser tends to be more inelastic than potash and phosphate.

Also, farmers in developing countries are generally more sensitive to prices, while farmers in developed economies (including the EU) tend to have more options to mitigate the risks.

Use of nitrogen-based fertilisers is more stable compared to phosphate and potash

Annual change in use

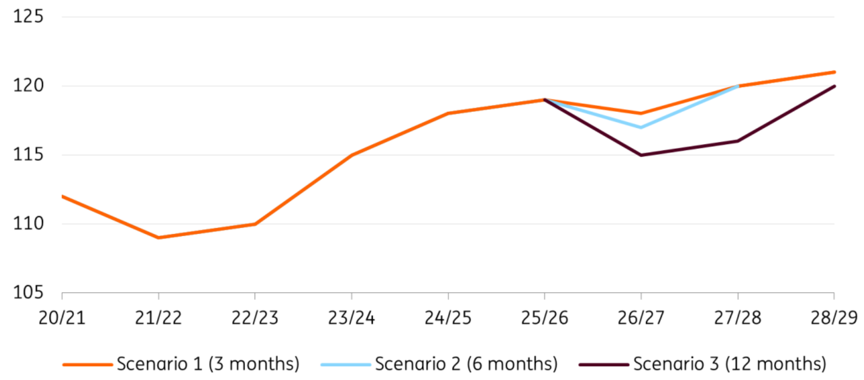


Source: IFA, ING Research

The disruption to fertiliser markets is exacerbated by the implementation of export quotas and restrictions by other major exporters, including Russia and China. That further exposes vulnerabilities in key importing regions like Australia, Brazil, India and the EU. On the other hand, governments in these countries and regions are stepping up their actions to secure supplies for domestic farmers or alleviate part of the cost pressure. The Australian government, which is usually quite market-orientated, has already intervened to secure nitrogen and urea shipments. Meanwhile, the EU recently published its Fertiliser Action Plan, which included commitments to support the most affected farmers.

IFA expects 1-2% decline in global Nitrogen-based fertiliser if Iran war lasts 3-6 months

Global use of nitrogen-based fertilisers in three scenarios, in million tonnes



Source: IFA, ING Research

Commodity market fundamentals favourable, for now

For commodity markets, the current geopolitical conditions are clearly negative. However, fundamentals such as supply, demand, stocks and broader economic factors remain more favourable, according to the International Food Policy Research Institute (IFPRI). This helps to limit the likelihood of immediate price spikes compared with previous shocks in 2007, 2010 and 2020.

A number of agri commodities heading into the 2026/27 marketing year are well supplied following strong output in 2025/26 amid record yields. This has left inventories at comfortable levels, helping to ease supply concerns.

The expectation for 2026/27 has been that while markets are expected to tighten (with yields falling back from record levels), they are likely to remain comfortable, suggesting only moderate strength in prices this year.

- Admittedly, US wheat prices have seen more significant strength due to the terrible condition of the domestic winter wheat crop. However, the global wheat market is expected to remain largely comfortable this season, suggesting that the market should see a pullback.
- Our expectation is that the corn market will trade in a largely $4.50-5/bu range through the latter half of the year, with a reduction in area, leading to a year-on-year decline in output, and as a result, tighter global stocks YoY.
- As for soybeans, the increase in area this year and higher output mean that global

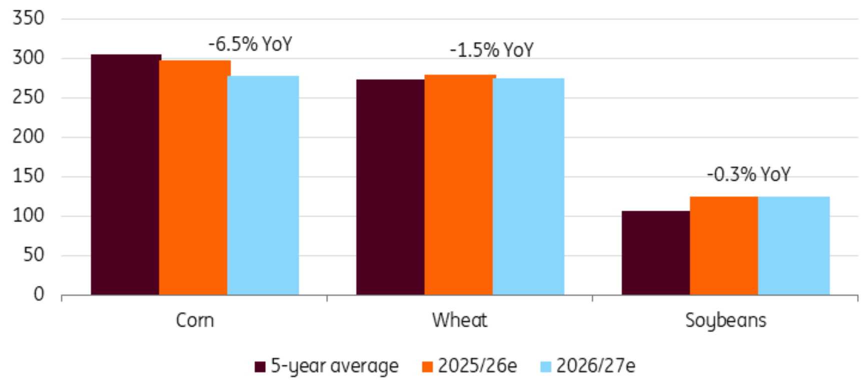
stocks are expected to remain broadly unchanged YoY, suggesting that prices may come under some relative pressure over the latter part of the year. We see soybean prices trading in a largely US$11-12/bu range.

Up until now, forecasts have not taken into consideration the potential impact of more persistent fertiliser shortages. Our forecasts have seen marginal changes since the start of the year. This is partly due to uncertainty over the duration of supply disruptions from the Persian Gulf. Also, while there is a broad relationship between fertiliser consumption and agricultural yields, it is not guaranteed that lower fertiliser usage will hit yields directly. Other variables, such as weather, are also important here.

Essentially, the impact of developments in the Middle East is more indirect and therefore more difficult to gauge in terms of its effect on agricultural prices. This contrasts with 2022, when there was a clear direct impact on agri market supply following Russia's invasion of Ukraine.

Global corn ending stocks to edge lower in 2026/27, while little change expected for wheat and soybeans

in million tonnes



Source: USDA, ING Research

Market attention shifts towards Southern Hemisphere

The impact of potential shortages varies across regions. Southern Hemisphere farmers are more vulnerable than those in the Northern Hemisphere. In the Northern Hemisphere, the impact is likely to be more limited, as farmers have already planted their spring crops and pre-booked inputs for the season. As a result, we do not expect any significant changes in crop areas or yields for most of these producers.

The bigger risk is for Southern Hemisphere producers and their winter crops, which are currently being planted. Risks will grow for spring crops (September to December plantings) if fertiliser disruptions persist into the third and fourth quarters of this year. This is particularly the case for key growing regions like South America, which are heavily dependent on fertiliser imports. Brazil, for example, imports in the region of 85% of its fertiliser needs. Obviously, the immediate impact is farmers facing rising prices and tighter margins, but a prolonged disruption could also feed through to physical shortages of fertiliser for Brazilian farmers. Shortages not only pose a risk to yields, but farmers in agri powerhouse Brazil could also decide to shift area from corn to soybeans, given the latter has a lower fertiliser intensity. This would lead to a further tightening in the global corn market, a market which was already set to tighten this year, with farmers in the US increasing soybean plantings at the expense of corn due to pricing dynamics. Given the importance of these crops as input for animal feed, this is something that the feed and animal protein sectors will monitor closely.

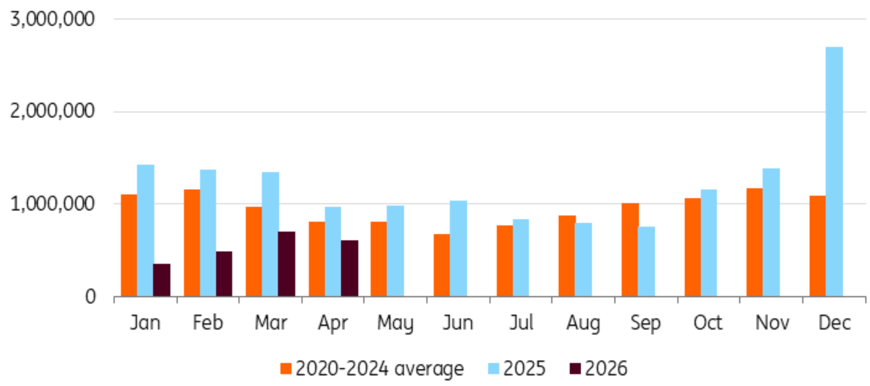
The concern for agri markets is that they are facing this uncertainty at a time when it is looking increasingly likely that we will see an El-Nino weather event this year. The National Oceanic and Atmospheric Administration is forecasting an 82% chance of El-Nino conditions emerging in May-June 2026 and a 96% chance that these conditions will continue through the 2026/27 Northern Hemisphere winter. El Niño can bring challenging weather conditions for some regions, including drier weather across large parts of Asia. In the 2023/24 season, which was an El Niño period, we saw agricultural yields in Brazil negatively impacted. This poses another layer of upside risk to agri prices this year.

What about the fertiliser situation in Europe?

The EU imports 25%-30% of the nitrogen fertiliser it needs, 35-45% of potash and around 70% of phosphate. There are no immediate concerns around fertiliser availability. Suppliers of nitrogen fertiliser had ample stocks available at the start of 2026 in anticipation of the introduction of higher levies on imported carbon intensive goods (CBAM). Since January, imports have dropped, meaning that companies have been drawing down inventories. In terms of domestic production, recent market data shows that production of nitrogen fertiliser has been relatively stable since the start of the Iran war. European producers have seen gas prices increase but selling prices of fertiliser products have also improved, meaning margins remain positive. Meanwhile, imports of phosphate have remained relatively stable.

EU started 2026 well supplied as nitrogen-based fertiliser imports spiked ahead of new carbon related levy

Imports of ammonia and nitrogen-based fertilizer in tonnes



Source: European Commission, ING Research

The impact on EU crop farmers - several factors soften the blow

For crop farmers, fertiliser is a key input. In the EU, it typically accounts for about 15 to 20% of total production costs. Fertiliser prices have been highly volatile in recent years because the market is very exposed to geopolitical developments. In response, many farmers tend to lock in prices ahead of the season, either individually or through groups such as cooperatives, meaning that the fertiliser that's being used on the fields today was often bought at pre-war prices.

For now, this is helping to cushion the blow, but the longer fertiliser prices remain elevated, the more farmers will be exposed to higher market prices. Meanwhile, higher fuel costs, which account for roughly 5% of total production costs, are passed through more quickly, adding to both actual and expected cost pressures. Any increase in agricultural commodity prices would help to reduce pressure on farmers' margins. While the situation will vary across producers, the roughly 10% increase in EU wheat prices since the onset of the war suggests that margin pressures may be less severe than initially feared, as higher output prices are helping to offset rising input costs.

Key risks and how to deal with them

The key supply chain risks for food & agribusinesses linked to the current energy and fertiliser shock are more skewed towards the second half of 2026 and first half of 2027.

1. **Financial stress and consolidation.** Greater financial pressure on farmers reduces their

ability to invest in equipment and makes them more price-conscious when buying farm inputs. Over the medium to long term, the ongoing pressure on profitability along with an ageing farmer population act as drivers for consolidation in the farming sector.
2. **Tighter supply and higher input costs.** Companies sourcing from farmers are likely to face growing pressure to pay higher prices for agricultural products as input costs rise. There is a clear risk that prices of agricultural inputs will exceed initial projections, particularly if a strong El Niño reduces yields and triggers a supply shock.
3. **Rising working capital requirements.** Higher prices would increase working capital needs for businesses. This is not an immediate risk, but one that companies could start to prepare for over coming quarters.
4. **Greater market volatility.** Increased volatility in markets leaves agribusinesses facing a more challenging environment. Firms can address this by creating more certainty through hedging their exposure. This could include inputs (fuel and fertiliser) as well as outputs and could be in the form of hedging in derivative markets or through securing longer-term supply/offtake agreements.
5. **Policy and export restriction risk.** Restrictions on exports of key food commodities become more likely if lower fertiliser application rates tighten domestic food supplies towards the end of the year. This could prompt governments to protect domestic supply and contain inflation. To mitigate risks, procurement teams could review supply chains for over-reliance on staple crops from specific countries. Imports from India, for example, carry higher risk given its history of protectionist measures.

Export restrictions are still mainly focused on energy and fertilisers not on food

Sector	Number of policy actions
Energy	131
Fertilizers	39
Food	14

Source: FAO, ING Research

Taken together, while current market conditions remain supportive and limit the likelihood of a 2022-style price spike, fertiliser-related risks are likely underappreciated given their delayed and difficult-to-quantify impact. Rather than an immediate shock, the pressure is more likely to build gradually, feeding through higher input costs, lower application rates and, ultimately, tighter supply.

For food and agribusinesses, this points to a more uncertain outlook beyond the near term, with risks increasingly concentrated in late 2026 and into 2027 as supply constraints, volatility and policy responses begin to materialise.

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Article | 29 May 2026 FX

USD/JPY: Largest quarterly intervention since 2004

The Japanese Ministry of Finance has today released FX intervention figures for the period of 28 April to 27 May. It confirms that the Bank of Japan sold JPY11.735tr (around $74bn). This will mark the largest quarterly FX intervention since 2004. It s an impressive figure, but unless oil or US rates turn dramatically lower, USD/JPY will stay bid

Sizable intervention

Figures released by Japan's MoF earlier today confirm that the BoJ undertook JPY11.735tr of FX intervention in the 28 April to 27 May window. That intervention likely started on 30 April, driving USD/JPY from above 160 to below 156 and was followed up potentially over the next four trading sessions.

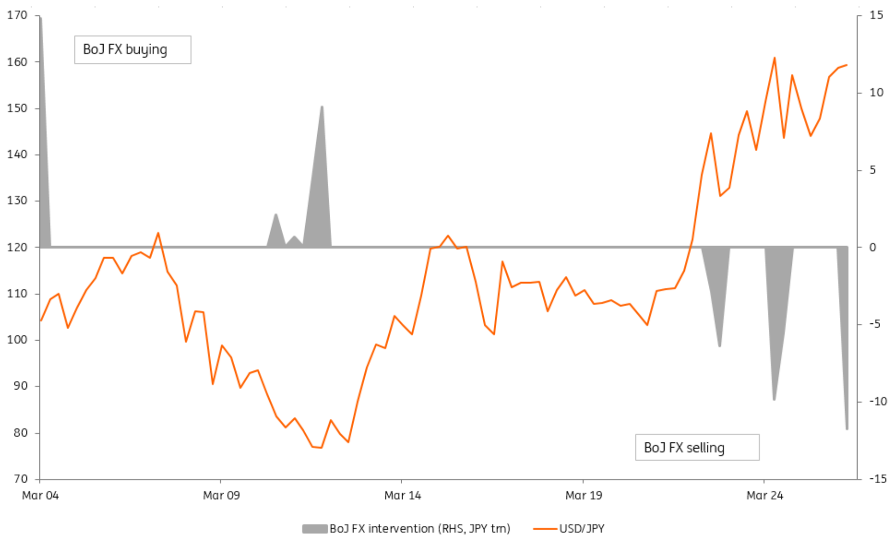
The size confirmed today is large. In fact, looking at the quarterly intervention figures, one has to go back to 2004 to see any activity as large in a single quarter.

Back in early 2004, the BoJ was intervening almost daily in an effort to keep USD/JPY above 100 at a time of a prevailing dollar bear trend – this after the Federal Reserve had cut its policy rate to 1.00% after the dot-com bubble burst.

Since then, FX intervention has been more modest and less frequent.

In fact, there is some speculation that Japanese policymakers feel constrained by the IMF's FX regime classification system. More frequent intervention – beyond three 'instances' in a six-month period – could see Japan''s FX regime re-classified as 'floating' instead of 'free floating' – which would be more in line with regimes in Brazil and Chile than Japan's G7 peers.

BoJ FX intervention versus USD/JPY



Source: Japanese Ministry of Finance, ING

Policymakers will struggle to turn the tide

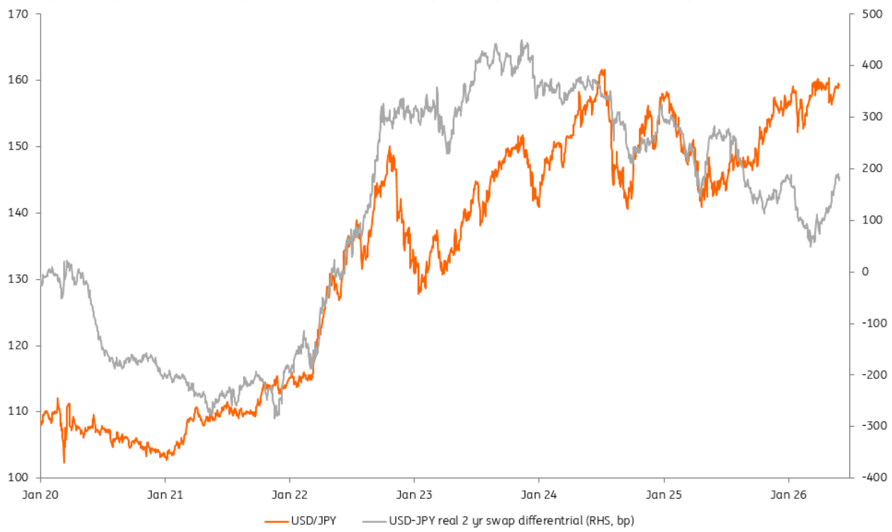
With USD/JPY already trading back near 160, it is hard to make the case that this year's Japanese FX intervention has been effective. Back in 2024, FX intervention was a success because the speculative market was heavily short yen and US rates were turning lower ahead of a Fed easing cycle starting that September.

Today, the speculative market is far less short yen and if anything, the Fed could be swinging behind a hike for its next move rather than a cut. Our call is that the BoJ will likely be called into action again over coming months as USD/JPY pushes through 160 again. This also has implications for US Treasuries, as Japanese authorities appear to sell Treasuries to finance FX intervention. Japanese holdings of US Treasuries fell around $100bn in 2024 – roughly consistent with FX intervention amounts that year. Remember as well that FX selling operations are finite and limited by the size of FX reserves. Japan has large reserves at over USD1tr, but will not want to lose 20-30% of them.

Unless the BoJ can somehow get 'ahead of the curve' and drive real interest rates higher, it is hard to see the USD/JPY situation changing over coming months. ING is looking for a BoJ rate hike on 16 June (now priced with a 78% probability), but the BoJ will have to deliver a very hawkish hike to reverse the recent shift in real interest rate differentials against the yen. That would somehow require the BoJ to manage expectations of a policy rate (now 0.75%) heading above 1.50% next year – which might be difficult in the current political environment.

Until then, we expect USD/JPY to stay bid near 160 over coming months and possibly push into the 162/163 area. Our call for 155 by year-end very much relies on US consumption stalling and the Fed reconsidering rate cuts. That is increasingly looking like a story for later in the year and the near term focus will be on the growing Fed hawkishness.

Real interest rates keep USD/JPY supported



Source: ING calculations

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Article | 27 May 2026

ECB set for June 'insurance' hike as energy shock raises policy risks

A June rate hike looks close to a done deal, but the ECB s path beyond that is far from straightforward. An energy crisis of uncertain duration, broadening inflation and adverse growth effects all make for tough policymaking. That raises the risk of a policy mistake, and we re expecting the central bank to tread carefully

We currently see a singular rate hike in June being used to demonstrate the ECB's willingness and determination to keep inflation expectations anchored

In two weeks, the European Central Bank will meet again, and a rate hike is starting to look close to a done deal. Back at the last meeting, ECB President Christine Lagarde added a touch of conditionality, stressing that higher energy prices showed some indirect effects but definitely no second-round effects yet.

The June meeting is expected to focus heavily on how higher energy prices and the war in the Middle East could affect – or are already affecting – inflation and inflation expectations. While ECB staff is busy tying up the last loose ends on a new set of forecasts for the June meeting, we've already had a peek at Lagarde's briefing note. Here it is.

Inflation remains a narrow shock so far, but will broaden soon

The eurozone inflation rate came in lower than expected in April, and the composition of the figures remained benign. The jump from 1.9% in February to 3% in April was mainly due to higher energy prices, with other components remaining benign.

Also, using alternative measures the ECB likes to look at to examine inflation from all possible angles, no warning signs of broadening inflation have yet been raised. 'Supercore' – a basket consisting just of the components of inflation most sensitive to economic activity – remains stable at a level around 2.5%; the trimmed mean, which excludes the components with the largest moves up and down, has increased but remains at historically modest levels. At the same time, however, looking at the main components of eurozone inflation in March and April, half already had an inflation rate of more than 2%.

Even if this week's May inflation data shows the first tentative signs of a broadening of inflationary pressures, which is likely, it will be so tentative that there is no need for a panic reaction.

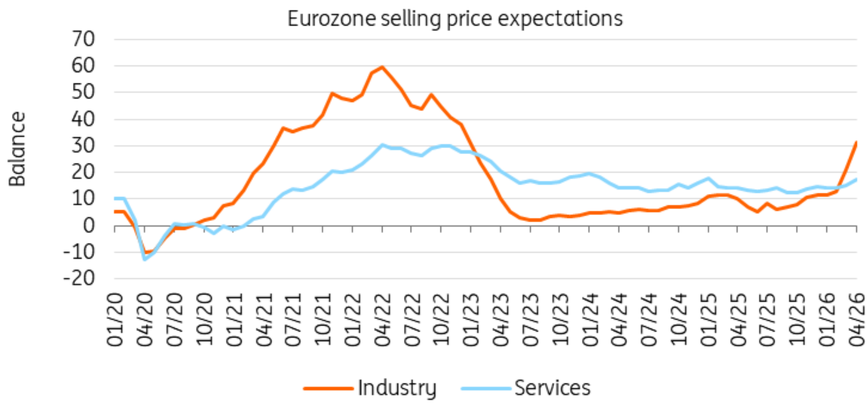
Indirect effects of the energy shock are set to become visible soon

Still, as crucial as actual inflation data has become for monetary policy, particularly in times of high uncertainty, it's a bit like steering your car by only looking in the rearview mirror – risky.

Looking further ahead, the latest producer price data suggests that input costs are on the rise, with certain critical inputs for the production process facing possible shortages. The number of industrial companies expecting to increase selling prices in the months ahead has risen sharply in recent months. In fact, a first inflation wave is already in full swing – one that remains mainly limited to energy prices, but is gradually broadening. It won't be long before higher energy prices lead to knock-on effects on transportation and food costs.

Needless to say, the longer the war in the Middle East and the blockade of the Strait of Hormuz persist, the higher the likelihood that the initial energy price shock will not only have knock-on effects but could also be accompanied by additional supply chain frictions and, in turn, a self-enhancing inflationary spiral.

Selling price expectations have surged since the Middle East war started

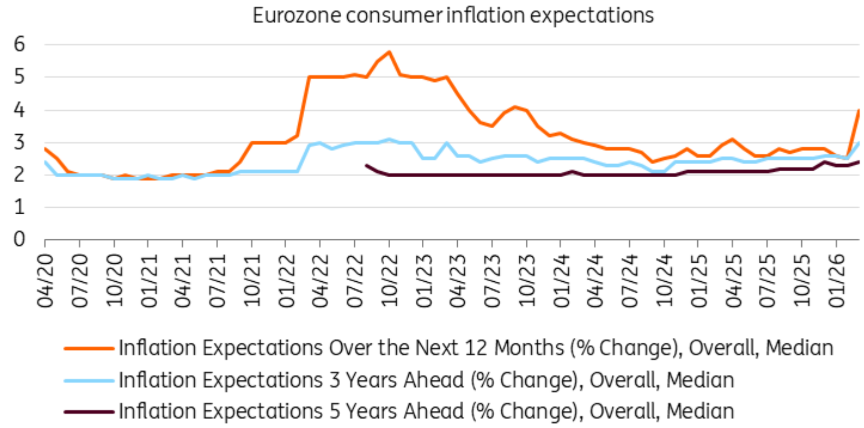


Source: European Commission DGECFIN

Some indirect effects are gradually unfolding, but the question is whether they will also lead to higher inflation expectations. Inflation expectation measures have already started to crawl up. The ECB's own consumer survey showed one-year-ahead inflation moving to 4% in April, from 2.5% in March, while five-year-ahead inflation only saw a marginal increase (to 2.4% from 2.3%).

To see a more fundamental shift in longer-term consumer inflation expectations, businesses need to be able to pass higher costs onto the consumer. The May PMI indicated a much smaller increase in selling prices than in input costs, which suggests that the current lukewarm economic environment may make it harder to pass on price increases to consumers. This would suggest more of a squeeze in margins for eurozone businesses, differing across sectors and countries.

Consumers see medium-term inflation expectations increasing quickly



Source: European Commission DGECFIN

And how about the economy? Is it performing strongly enough to expect a broader uptick in inflation? The output gap – the difference between actual and potential output – provides some insight into whether the economy is overheated or underperforming. While this measure has been a subject of debate (and frequently revised) over time, the current reading suggests that the economy is not overheating nor underperforming at the moment. This is also supported by the number of companies indicating that they are experiencing demand or supply problems as their largest limit to production. This is roughly balanced according to the European Commission's surveys. In short, the economy is roughly ticking along at potential.

But the latest data has not been very positive. The May PMI weakened with output softening, businesses shunning hiring and new orders dropping. While we have seen this before without a recession emerging, we do take this as a signal of weakening conditions for the business economy.

Fiscal policy matters

Back in April, President Lagarde already talked about the crucial role fiscal policy plays in both tackling the energy shock and shaping the inflation outlook. In 2022, eurozone governments introduced some 500 individual measures to tackle the energy price shock. Think of price caps, subsidies, tax cuts or all of the above. At the current juncture, fiscal support has so far been modest. In 2022, fiscal support amounted to more than 3% of GDP in the eurozone; we are currently at hardly 0.2% of GDP. Unless this changes, the likelihood of a 2022 rerun, as well as the chances of an unstoppable inflation spiral, remain low.

All in all, the available data so far points to a mild stagflationary impact of the war in the Middle East on the eurozone economy. The duration of the war and oil prices have clearly moved away from the ECB's March baseline scenario. At the same time, however, the duration of the war is subject to high uncertainty, both towards the positive and the negative. Interestingly, despite a much longer-lasting war, oil prices have remained below what many had feared in a more adverse scenario. For the ECB meeting, the slight increase in inflation should not trigger any panic but high alertness. In the past, the ECB would have called it ‘vigilance’.

A hike in two weeks but more hikes not necessarily needed

With this vigilance, the main question for the ECB will be whether to go for a preemptive insurance hike or stay put. Market expectations have already tightened the monetary policy stance in recent weeks. Real long-term interest rates, for example, are at levels last seen in the period between 2013 and 2016. It is these market expectations that are likely to shift the needle towards a rate hike. We have been there before – an ECB stressing that not delivering on market expectations would actually ease the monetary policy stance.

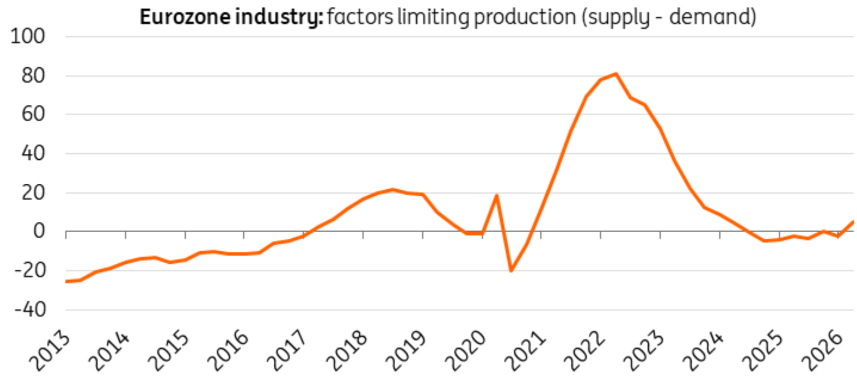
A tighter monetary policy stance and creeping inflationary pressure are why we think that a rate hike is almost a done deal. Isabel Schnabel’s comments earlier this week confirmed the direction of travel. In fact, it would probably require another sharp deterioration in economic sentiment for the ECB not to hike. Even if the war in the Middle East were to end tomorrow, the damage to inflation has already been done. Inflation has started – and will continue – to hit the eurozone economy. The only question is whether it will fall in the category of ‘transitory’ or whether supply chain disruptions could create more knock-on effects than ‘only’ on transportation and food prices. Given the 2022 experience, the ECB is likely to opt for an 'insurance' rate hike. Not that a rate hike will do a lot to affect inflation expectations, but it would be a symbolic move, stressing the ECB’s determination to act.

What's even more interesting is what will happen beyond the June meeting. Markets have started to price in a total of three rate hikes. However, as long as fiscal stimulus remains muted, the risk of an outright inflationary spiral remains small, making an aggressive monetary policy reaction to the current energy price shock unlikely. In fact, even if it’s still in the ECB’s institutional memory, the comparison with 2022 doesn't quite hold: back then, the eurozone economy entered a post-lockdown boom, there was substantial fiscal stimulus, higher inflation rates and a much looser monetary policy stance.

For us, the better reference period for the ECB remains the 2011 experience. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than they are currently – to tackle rising inflationary pressure, only to discover that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

For now, we only see one insurance rate hike in June being used to demonstrate the ECB’s willingness and determination to keep inflation expectations anchored. As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

Companies don't indicate signs of overheating



Source: European Commission DGECFIN, ING Research

European Commission. Weighted share of companies indicating the factor limiting production. Supply is a combination of labour, equipment and other factors.

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AI monthly: Many still unconvinced of GenAI's relevance

In the latest EU survey, almost two out of three internet users report not using GenAI for work or for personal use, mostly because they see 'no need'. However, those who do use it more, the young and the more educated, are also most concerned about losing their jobs to it

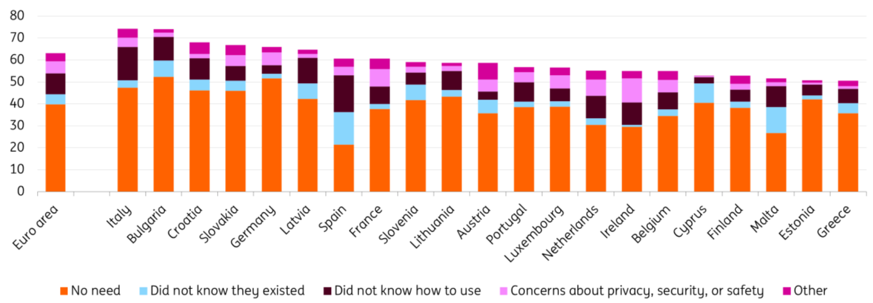
A large proportion of individuals still find no need for this technology

In the eurozone, almost two-thirds of respondents in a 2025 EU survey report not using any GenAI tools (e.g., ChatGPT, Copilot, Dall-E) to create text, pictures or codes, despite using the internet over the past three months. More importantly, "no need" stands out as their top reason, while other concerns such as not knowing how to use it, being unaware of its existence, or broader security reasons remain limited. There are also some differences within eurozone countries. For instance, non-usage is highest in Italy, while Spain tops the list for users who were unaware of GenAI's existence, and didn't know how to use it. Still, "no need" dominates responses across all countries.

Taken together, the high share of non-users, many of whom see 'no need', suggests that the gains from GenAI may be concentrated among a minority with the right complementarities, such as relevant knowledge, skills, and clear use cases in work or personal life. This also implies that simply pushing for broader adoption may not be enough, as non-users may need greater awareness of practical applications, many of which may not yet be well understood or fully developed.

'No need' is the top reason for not using AI in all countries

Percentage of individuals not using GenAI and their top reasons, eurozone countries



Eurostat, 2025

The younger and more educated lead in usage, but also in job anxiety

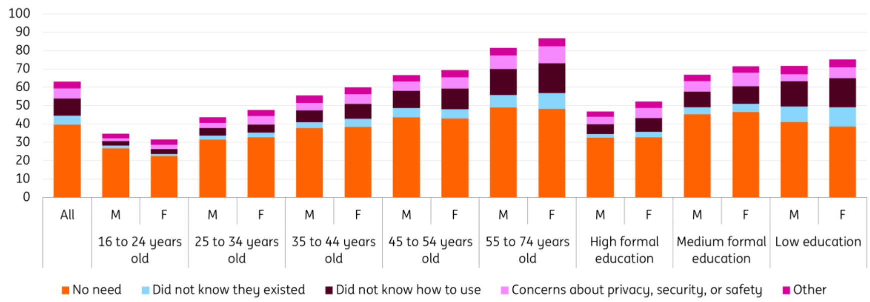
In the eurozone, non-usage increases sharply with age; from around 40% in respondents between the age of 16-34, to over 75% for those between the age of 45-74. Non-usage rises from around 50% among highly educated respondents to 80% among those with lower levels of education. Younger and more educated individuals are therefore more likely to find the technology relevant and to benefit from its use. Women also tend to report slightly higher levels of non-usage within the same age and education groups, although the difference remains small.

At the same time, reports such as this recent one from Anthropic highlight that younger, early-career workers are also the ones who are most concerned about losing their jobs to AI. Moreover, occupations requiring higher levels of education tend to be more exposed to AI through automation or augmentation, and greater AI job exposure is also linked with increased worries about job displacement. This creates a high usage – high anxiety paradox, where greater familiarity with the technology appears to increase, rather than alleviate, fears.

Employees that use GenAI may see personal benefits today but worry that wider adoption might cost them tomorrow. This makes it tricky to push people to use GenAI to increase productivity without providing sufficient safeguards, as this perceived threat from wider adoption may lead to intentional underutilisation of the technology.

AI non-usage increases with age and decreases with higher levels of education

Percentage of individuals not using GenAI and their top reasons, by male and female, eurozone



Eurostat, 2025

The broader economic payoff may take longer to materialise

Businesses and policymakers are encouraging wider GenAI adoption to reap broader economic benefits. An important step in that direction would be convincing people of the value added and generating broader use cases, as the main constraint is that of relevance, rather than know-how or fears of security.

Even then, the prominent usage differences between countries, age groups, and education levels suggest that gains may accrue to certain demographics, like the young and more educated, before these are diffused into the broader economy. But these groups that stand to gain are also faced with greater anxiety about job losses. This makes it just as important to ensure that widespread fear does not stand in the way of adoption as it is to ensure that adoption does not widen economic inequality. After all, not everyone is starting the AI race from the same position.

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RATES SPARK

Rates Spark: The real deal

Oil and inflation dominate near-term direction for rates. But on a longer view, real rates highlight a backdrop, where better growth hopes and record bond supply keep long-end pressure intact. Recession fears are the clear risk to that. But in the absence of recession, inflation expectations are arguably benign and real rates have little need to fall

US Treasuries still holding at just under 4.5%, and still sticky

In the past number of weeks, we've been opining on long-dated *real* rates as a factor of significance for bond markets. Primarily, here. There is a link, even if seemingly tenuous, with the ongoing technical and productivity revolution being discounted in the risk asset space. It's not easy to glean this from the ups and downs in bond yields through business cycles, but it's certainly there. Below we update similar from a eurozone perspective. And we assert further that this is a factor of global influence.

But note, at the same time, that such talk is all very well while economies are doing okay. Face into a recession, and real rates *will* fall, regardless. Notwithstanding that, they should be higher than normal, and certainly well above the ultra-low real rates seen post the GFC / pandemic periods. It's a key focus to be cognisant of, rather than a simple Strait-induced hyper-focus on inflation expectations.

In fact, longer term inflation expectations are reasonably well contained (the European 10yr inflation breakeven is 2.2%, and the US version is 2.4%). In fact, these are likely too benign, and risk underestimating medium-term inflation risks. Either way, it leaves long tenor rates sticky at elevated levels.

Keep an eye on real rates as structural forces cannot be ignored

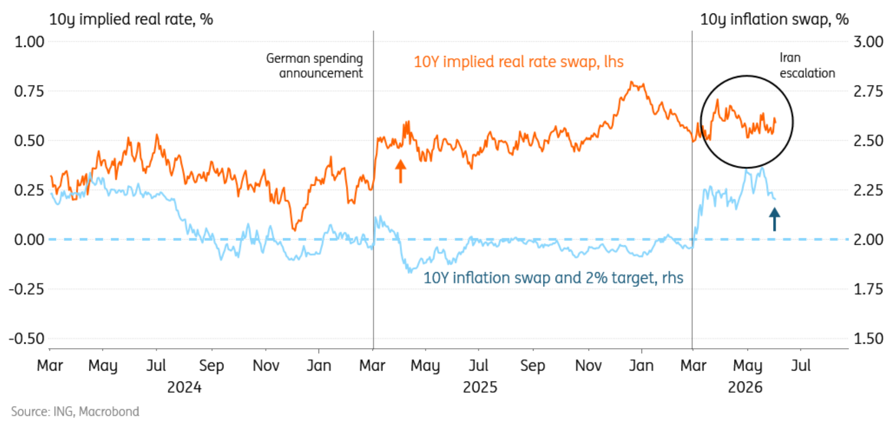
Inflation is clearly the current driving force behind euro rates, but the dynamics behind real rates should also not be forgotten when looking over a longer horizon. When we look at the 10Y euro implied real rate, we are close to the starting point from before the rise in oil prices. But when we take a longer view, we see that 10Y real rates have risen significantly since 2024. The German spending announcement was an important event, triggering an immediate jump of c.25bp.

Part of the real rate story can be explained by improving growth expectations in the eurozone, whereby a fiscal boost can help reduce the chance of returning to secular stagnation. In the US, the AI story seems to be feeding a growth narrative most recently. Whilst 10Y euro real rates traded sideways over the past few months, US real rates actually rose significantly.

But the big elephant in the room is the record bond supply hitting markets, which can also have an upward impact on longer-dated real rates. With the ECB continuing to reduce their bond portfolio, investors have increasingly more interest rate risk to absorb, increasing the term premium. And in the US, a worrisome large fiscal deficit is also adding to the global bond supply, keeping curves steeper.

Whilst oil prices dominate daily moves, in the background we could see a continuation of upward pressure on global real rates. This could change, however, if growth worries start mounting. Both the US and eurozone economies have their weaknesses and any talk about recession risks would quickly turn the direction of real rates.

Recent dynamics focused on inflation, but structural factors in real rates still important



Wednesday's events and market view

In the eurozone, we will get the final services PMIs for May and the producer prices for April. The ECB's Elderson and Cipollone are slated to speak.

After job openings data significantly beat expectations on Tuesday, the US data is likely to be more influential for markets. Up for release are the May ADP employment growth and then the services ISM. Here the market is again looking for a confirmation of US resilience with the ISM expected to tick slightly higher. Later in the day the Fed will release its Beige Book summarising the anecdotal evidence on current economic conditions in its districts. The only Fed speakers on Wednesday are Barr and Logan.

In primary markets, the UK will auction £1.6bn in 9y inflation-linked gilts.

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2 June 2026

Credit Strategy

Euro Credit Supply

Supply continues at a strong pace

Supply for May (€bn)

	Corporates	Financials
May	67.8	45.7

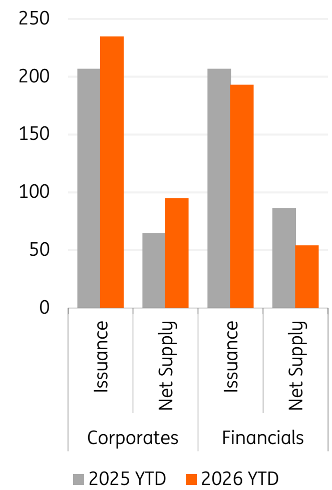
Source: ING, Dealogic

Supply FY and YTD (€bn)

Corporates	FY	YTD
2020	444	244
2021	336	164
2022	252	141
2023	304	162
2024	394	210
2025	455	207
2026		**235**
Financials	**FY**	**YTD**
2020	230	126
2021	258	127
2022	276	141
2023	309	175
2024	322	180
2025	414	207
2026		**181**

Source: ING, Dealogic

Supply and Net Supply YTD



Source: ING, Dealogic

Corporate supply was very substantial in May

- Corporate supply has been very active with €9bn last week and a substantial €22bn the week prior. Supply in May totalled €68bn for corporates, an increase on the average normally seen in May. As such, the YTD figure now amounts to €235bn, running notably ahead of most previous years with the exception of 2020 when we saw the Covid-induced rush to the market.
- Looking ahead, the backdrop remains supportive for robust issuance. Reverse Yankee supply and substantial deals from US tech issuers are set to keep volumes elevated. As a result, we now forecast €485bn for 2026 – a 7-10% increase versus last year and a new record high for EUR corporate supply. That said, it's important to note that redemptions are also rising, reaching approximately €304bn. This means net supply will remain broadly stable at around €180bn, in line with 2025 levels. The biggest drivers for higher supply thus far this year have been: (1) Reverse Yankee supply; (2) Technology supply; and (3) Corporate Hybrid supply.
- Corporate hybrids have also been very active this year so far in primary markets with no less than €32bn issued on a YTD basis. We forecast at least €50bn for the year as refinancing of first call dates is substantial, as well as rising capex and M&A, and new entrants are likely to be driven by rating defence.

Banks' senior preferred issuance tripled in May

- EUR denominated covered bond issuance reached nearly €18.5bn in May, that's the highest level seen since February and brings the 2026 YTD total just over the €100bn mark, a comfortable €15bn ahead of the 2025 YTD gross level.
- Banks issued nearly €27.5bn in senior unsecured bonds last month, which is €12bn ahead of what we noted in April. The primary market activity over May brings the senior unsecured segment's YTD supply to nearly €120bn, only €4bn behind the 2025 YTD level despite the geopolitical instability and related volatility observed earlier this year.
- We record €13bn printed in senior preferred instruments, which is three times what we saw in April and almost reaches the January issuance level. The senior preferred bond supply therefore lies at €39bn in 2026 YTD. Another €14.5bn was supplied in senior bail-in bonds over May, bringing the YTD supply to €80bn. We also note a recovery in activity of subordinated instruments issuance with €9.5bn printed last month, the highest level seen since the start of the year.

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Fig 1   Euro corporate supply overview (€bn)

	2022	2023	2024	2025	2025 May	2026 Apr	2026 May	2025 YTD	2026 YTD	% diff
Auto	26	50	56	48	14	2	11	25	28	14
Consumer	25	50	49	61	8	4	6	27	29	7
Healthcare	25	18	35	40	12	6	3	21	9	-56
Industrial & Chemicals	45	55	74	66	10	4	9	33	30	-9
Real Estate	24	7	24	37	4	4	2	13	13	0
TMT	32	42	52	98	12	4	23	43	64	48
Utility	56	54	67	62	7	7	8	28	38	38
Oil & Gas	2	9	10	14	-	1	2	6	8	30
Others	16	17	26	29	1	2	3	11	15	40
Corporate Hybrid	12	15	26	38	6	10	1	13	32	145

Source: ING. Dealogic

Fig 2   Euro financial supply overview (€bn)

	2022	2023	2024	2025	2025 May	2026 Apr	2026 May	2025 YTD	2026 YTD	% diff
Bank Senior	196	224	196	224	23	15	27	125	119	-4
of which NPS	73	97	118	150	18	11	14	78	80	3
of which Pref	123	127	78	74	5	4	13	47	39	-17
Bank Capital	27	32	57	65	9	2	9	34	24	-30
Financial Services	37	40	50	95	13	3	5	43	27	-37
Insurance	16	13	20	25	4	2	4	13	12	-11
Covered	212	194	158	160	21	16	18	85	100	18

Note: Dealogic sorts some Banks into the Financial Services sector
Source: ING. Dealogic

Fig 3   Euro corporate supply and net supply by month (€bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	37.5	14.2	45.7	10.2	31.6	16.4	2.7	14.7	24.5	23.2	30.3	1.0	251.9
2023	40.2	27.6	25.3	18.0	48.0	26.0	12.1	22.3	32.5	7.8	39.6	4.3	303.5
2024	37.8	41.4	42.2	34.2	54.4	32.1	15.8	30.7	44.3	25.1	32.4	3.7	393.9
2025	36.0	42.8	28.0	31.1	69.1	49.3	22.8	17.4	52.6	27.7	70.0	8.3	455.0
2026	**45.1**	**39.2**	**50.1**	**32.7**	**67.8**								**234.8**
Net Supply	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
2022	15.6	-3.0	17.2	-7.7	13.0	-8.9	-11.8	7.8	-2.8	13.3	8.4	-11.6	29.2
2023	18.8	4.1	-5.2	-4.1	26.6	4.5	-3.4	15.1	-4.2	-10.6	18.0	-1.6	58.1
2024	8.8	24.4	18.9	9.7	26.4	12.8	-10.1	29.4	14.1	1.2	13.6	-12.6	136.4
2025	12.6	20.8	-9.9	-2.3	43.5	27.5	4.1	8.4	19.7	14.3	44.3	-5.7	177.3
Redemptions	21.9	18.3	33.4	27.4	38.8	34.1	17.7	12.4	33.8	26.1	28.8	11.7	304.3
2026	**23.1**	**20.9**	**16.7**	**5.3**	**29.0**								**95.0**

Redemptions shown for 2026 only
Source: ING. Dealogic

Fig 4   Euro financial supply and net supply by month (€bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	36.6	22.5	28.9	20.8	30.5	18.8	6.0	25.0	24.4	16.0	43.1	3.8	276.5
2023	68.1	25.6	16.2	25.2	36.6	31.3	8.9	17.2	36.6	14.5	26.6	2.5	309.1
2024	56.9	26.4	34.3	29.3	33.6	19.2	21.1	19.0	40.8	19.8	17.5	4.3	322.2
2025	57.4	42.1	34.0	22.9	50.6	33.6	21.5	29.8	34.8	27.0	49.5	10.5	413.6
2026	**59.0**	**42.7**	**11.2**	**22.8**	**45.7**								**181.4**
Net Supply	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	Total
2022	2.2	1.8	6.0	2.7	16.7	4.2	-5.1	15.1	-0.1	-0.9	30.7	-8.1	65.1
2023	49.9	17.7	-10.9	11.7	18.2	11.8	-6.9	8.7	15.5	-2.9	13.9	-3.1	123.6
2024	39.9	12.2	21.2	10.1	6.1	-4.8	6.9	14.5	24.1	11.2	7.9	-2.9	146.4
2025	26.2	23.1	7.3	1.8	28.2	13.8	2.5	22.2	16.7	14.4	27.9	2.4	186.4
Redemptions	33.4	21.2	26.0	28.7	29.6	23.3	15.7	3.6	33.3	24.8	26.4	8.3	274.2
2026	**25.6**	**21.5**	**-14.9**	**-5.9**	**16.1**								**42.5**

Covered Bonds excluded from aggregate throughout. Redemptions shown for 2026
Source: ING. Dealogic

Fig 5 Corporate supply and redemptions by month. 2026 (€bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Autos	7.1	2.5	5.1	2.2	11.2								28.0
Consumer	4.5	5.9	8.7	3.6	6.2								28.8
Healthcare	0.0	0.0	0.0	5.9	3.3								9.2
Industrial	5.6	3.2	8.6	4.0	8.5								29.9
Real Estate	4.5	1.7	0.8	4.1	2.2								13.2
TMT	8.7	11.8	16.7	3.7	23.2								63.9
Utility	11.8	9.0	3.2	6.6	8.0								38.4
Oil & Gas	1.0	1.5	3.0	0.8	2.0								8.3
Others	2.1	3.8	4.2	2.0	3.3								15.2
Redemptions	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Autos	4.6	3.6	4.5	3.4	5.9	3.9	4.4	4.2	3.9	3.3	5.2	0.3	46.9
Consumer	2.4	3.1	6.0	3.4	6.4	4.0	0.6	2.1	3.3	2.2	2.2	0.2	35.8
Healthcare	2.5	0.8	3.6	0.0	4.1	3.6	0.6	1.0	5.5	2.6	2.8	1.1	28.1
Industrial	1.7	0.9	6.6	7.5	7.9	4.4	5.2	0.5	5.9	4.3	7.9	1.0	53.5
Real Estate	5.3	1.2	2.8	1.9	2.4	3.4	3.1	1.1	1.8	1.0	2.0	0.7	26.4
TMT	1.2	3.1	4.4	5.6	4.6	3.3	1.6	1.8	8.0	2.8	3.4	1.9	41.4
Utility	3.3	0.8	2.2	3.7	5.2	4.7	1.0	1.6	1.9	7.1	2.9	3.7	37.9
Oil & Gas	0.5	3.6	2.6	1.0	1.8	0.0	0.0	0.0	0.9	1.0	0.6	1.5	13.4
Others	0.7	1.4	0.8	1.0	0.7	6.8	1.4	0.1	2.8	2.0	1.8	1.3	20.8

Source: ING. Dealogic

Fig 6 Financial supply and redemptions by month. 2026 (€bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Bank Senior	40.8	29.7	5.8	15.5	27.4								119.1
of which NPS	26.0	25.8	3.0	11.4	14.4								80.5
of which Pref	14.8	4.0	2.8	4.1	13.0								38.6
Bank Capital	8.4	4.4	0.0	1.8	9.5								24.0
Financial Services	6.1	6.6	4.9	3.8	5.2								26.6
Insurance	3.8	2.0	0.5	1.8	3.6								11.7
Covered	29.3	25.2	11.5	15.9	18.4								100.2
Redemptions	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Bank Senior	25.5	17.6	21.9	25.6	22.8	17.4	12.5	2.3	23.6	20.0	18.7	6.7	214.5
of which NPS	12.6	3.6	7.5	9.5	4.5	8.2	6.4	0.0	9.0	4.3	7.8	1.5	74.7
of which Pref	13.0	14.0	14.4	16.1	18.3	9.2	6.1	2.3	14.6	15.8	10.9	5.2	139.8
Bank Capital	4.3	2.8	3.8	2.0	5.0	3.9	0.6	0.2	4.6	2.0	2.0	1.8	32.6
Financial Services	7.1	3.3	3.8	2.3	2.6	5.3	1.9	1.3	6.0	2.9	6.3	1.6	44.5
Insurance	0.8	0.3	0.0	0.8	3.8	0.0	1.3	0.0	1.9	1.1	0.7	0.0	10.7
Covered	20.2	20.2	19.7	14.1	6.0	12.0	11.0	8.1	17.6	19.4	9.1	4.0	161.2

Source: ING. Dealogic

Fig 7 Euro supply. redemptions and net supply by year (€bn)

Corporates	YTD	FY	Reds	Net	Financials	YTD	FY	Reds	Net
2015	166	276	122	154	2015	145	258	321	-63
2016	163	306	144	162	2016	151	234	262	-28
2017	154	326	155	171	2017	128	224	269	-45
2018	134	282	157	125	2018	116	225	182	43
2019	155	392	170	222	2019	119	267	186	81
2020	244	444	201	242	2020	126	230	192	38
2021	164	336	213	123	2021	127	258	169	89
2022	141	252	223	29	2022	141	276	211	65
2023	162	304	245	58	2023	175	309	185	124
2024	210	394	258	136	2024	180	322	176	146
2025	207	455	278	177	2025	207	414	227	186
2026	**235**	**235**	**304**		**2026**	**193**	**193**	**274**	
2027			317		2027			262	
2028			305		2028			249	
2029			286		2029			235	

Source: ING. Dealogic

Fig 8 Subordinated supply. 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	1.7	3.7	0.0	0.8	3.5								9.6
T2	6.7	0.8	0.0	1.0	5.8								14.2
Bank Capital	**8.4**	**4.4**	**0.0**	**1.8**	**9.3**								**23.8**
Corp Hybrids	**7.6**	**9.5**	**4.9**	**9.6**	**0.9**								**32.4**
2025	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
AT1	2.2	3.4	2.1	0.1	5.3	2.6	0.0	0.0	2.9	0.7	5.7	0.0	24.9
T2	4.9	5.6	3.5	1.2	2.5	4.3	0.5	5.0	1.3	1.2	3.8	0.0	33.5
Bank Capital	**7.1**	**9.0**	**5.6**	**1.3**	**7.7**	**6.9**	**0.5**	**5.0**	**4.2**	**1.8**	**9.4**	**0.0**	**58.5**
Corp Hybrids	**4.8**	**0.0**	**1.7**	**0.9**	**5.9**	**4.6**	**1.0**	**0.5**	**6.1**	**4.2**	**7.4**	**0.6**	**37.5**

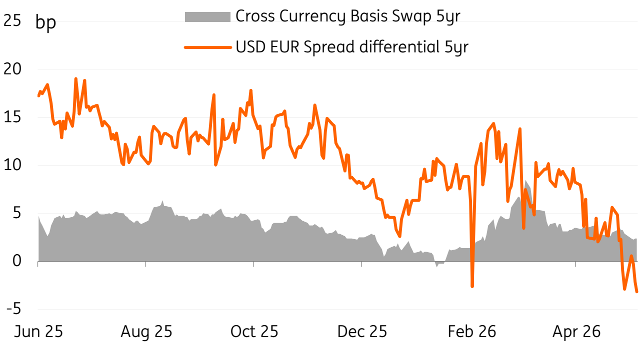
Source: ING. Dealogic

Fig 9 Reverse Yankee supply. 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	4.2	12.1	24.2	4.7	18.5								63.6
Financial	5.1	11.4	0.3	1.4	1.3								19.5
Total	**9.2**	**23.5**	**24.5**	**6.1**	**19.8**								**83.0**
2025	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Corporate	2.5	16.2	3.4	10.2	11.2	6.7	5.4	0.6	7.5	1.4	25.6	1.8	62.1
Financial	8.6	1.4	5.1	10.7	2.9	3.6	4.8	1.5	1.8	6.1	13.0	2.8	154.3
Total	**11.1**	**17.6**	**8.5**	**20.8**	**14.1**	**10.3**	**10.2**	**2.1**	**9.3**	**7.5**	**38.6**	**4.5**	**216.5**

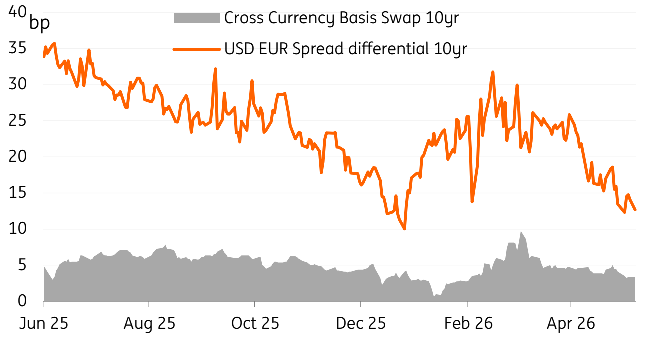
Source: ING. Dealogic

Fig 10 XCCY 5yr



Source: ING. IHS Markit, Refinitiv

Fig 11 XCCY 10yr



Source: ING. IHS Markit, Refinitiv

Fig 12 European. Yankee and Reverse Yankee supply (€bn)

Corporates	European	Yankee (US$)	Rev Yankee	Financials	European	Yankee (US$)	Rev Yankee
2015	145.6	108.5	62.6	2015	145.9	127.1	28.9
2016	173.7	113.9	65.8	2016	133.3	114.0	45.6
2017	192.2	102.0	65.7	2017	129.1	111.9	35.6
2018	181.1	130.6	31.7	2018	126.2	131.7	18.1
2019	231.1	95.4	98.3	2019	171.6	95.8	28.8
2020	283.1	152.3	68.9	2020	152.6	125.3	25.3
2021	182.9	107.1	63.8	2021	137.8	167.0	41.5
2022	161.0	89.9	34.0	2022	165.8	147.3	29.8
2023	190.1	104.6	44.0	2023	210.3	150.4	13.1
2024	233.0	143.3	65.3	2024	200.7	167.2	27.1
2025	259.6	145.8	92.2	2025	217.2	164.6	62.1
2026	**129.3**	**74.9**	**63.6**	**2026**	**109.4**	**95.5**	**19.5**

Source: ING

Fig 13 ESG supply per month 2026 (€bn)

Corporate	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	13.1	6.7	3.8	7.3	9.5								40.4
Social	1.8	0.0	0.0	1.0	0.0								2.8
Sustainable	0.9	0.5	0.1	0.0	1.4								2.8
ESG	**15.7**	**7.2**	**3.9**	**8.3**	**10.9**								**45.9**
Financial	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**June**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Green	7.1	9.8	2.8	5.6	12.3								37.5
Social	1.9	0.0	0.0	0.0	0.0								1.9
Sustainable	0.0	0.0	0.0	0.0	0.8								0.8
ESG	**9.0**	**9.8**	**2.8**	**5.6**	**13.0**								**40.1**
Covered	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**June**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Green	0.0	2.3	1.5	1.2	1.9								6.9
Social	0.0	1.0	0.0	0.0	0.6								1.6
Sustainable	0.0	0.0	0.0	0.0	0.0								0.0
ESG	**0.0**	**3.3**	**1.5**	**1.2**	**2.5**								**8.5**

Source: ING. Dealogic – classified as ESG under Dealogic

Fig 14 ESG supply per year and YTD (€bn)

Corporate	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	61.7	64.1	87.6	77.9	40.4	32.4	32.2	42.9	29.0	40.4
Social	3.1	0.5	5.0	2.4	2.8	2.4	0.5	2.9	2.4	2.8
Sustainable	4.3	0.6	2.8	4.7	2.8	2.6	0.0	1.9	2.4	2.8
ESG	**69.1**	**65.3**	**95.4**	**85.0**	**45.9**	**37.3**	**32.7**	**47.6**	**33.8**	**45.9**
Financial	**2022**	**2023**	**2024**	**2025**	**2026**	**2022 YTD**	**2023 YTD**	**2024 YTD**	**2025 YTD**	**2026 YTD**
Green	46.4	48.7	54.5	56.6	37.5	19.2	23.3	27.2	20.6	37.5
Social	6.6	7.0	5.3	9.3	1.9	2.0	4.0	0.6	6.1	1.9
Sustainable	2.6	4.9	0.5	3.0	0.8	0.3	2.0	0.5	1.9	0.8
ESG	**55.6**	**60.7**	**60.3**	**68.9**	**40.1**	**21.5**	**29.3**	**28.3**	**28.6**	**40.1**
Covered	**2022**	**2023**	**2024**	**2025**	**2026**	**2022 YTD**	**2023 YTD**	**2024 YTD**	**2025 YTD**	**2026 YTD**
Green	16.0	15.9	12.0	12.1	6.9	7.0	7.8	9.8	6.3	6.9
Social	3.1	7.4	7.8	5.4	1.6	2.6	4.6	2.5	3.6	1.6
Sustainable	0.5	0.0	0.5	1.6	0.0	0.0	0.0	0.0	1.0	0.0
ESG	**19.6**	**23.3**	**20.3**	**19.0**	**8.5**	**9.6**	**12.4**	**12.3**	**10.9**	**8.5**

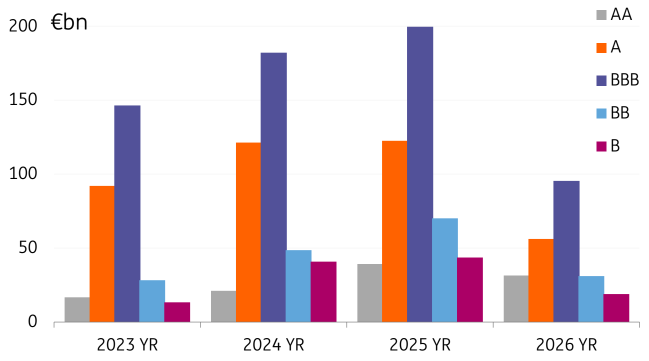
Source: ING. Dealogic - classified as ESG under Dealogic

Fig 15 Investment grade issuance by maturity, 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
Corp 0-3yr	6.0	3.3	7.0	3.0	11.0								30.2
Corp 3-6yr	8.0	6.5	11.2	5.2	20.0								50.9
Corp 6-9yr	13.4	9.8	10.9	10.3	22.9								67.2
Corp 9-12yr	3.6	5.2	8.1	2.9	5.5								25.1
Corp 12yrs+	14.2	14.5	12.9	11.4	8.5								61.4
Fin 0-3yr	6.4	8.5	4.6	1.7	6.0								27.2
Fin 3-6yr	14.6	9.9	4.2	8.6	9.7								47.1
Fin 6-9yr	13.2	11.8	5.7	11.3	13.1								55.1
Fin 9-12yr	16.9	5.6	0.7	3.2	8.2								34.7
Fin 12yrs+	6.8	11.0	0.8	0.0	0.0								18.7
2025	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**YTD**
Corp 0-3yr	4.1	3.5	2.1	1.9	9.6	5.3	2.4	3.6	10.2	1.2	7.9	2.2	53.8
Corp 3-6yr	7.4	7.3	7.4	4.5	15.8	10.5	5.3	1.9	10.7	4.9	11.5	3.2	90.3
Corp 6-9yr	10.3	16.1	9.8	12.1	17.3	19.8	5.6	6.0	16.0	12.4	17.4	2.3	144.9
Corp 9-12yr	4.9	5.4	5.5	4.7	12.2	5.2	2.4	2.4	4.9	1.7	9.2	0.0	58.4
Corp 12yrs+	9.3	10.5	3.2	8.1	14.2	8.6	7.3	3.5	10.7	7.6	24.0	0.6	107.6
Fin 0-3yr	10.9	4.1	5.4	3.9	6.9	5.6	3.0	5.0	5.8	1.9	8.3	1.9	62.6
Fin 3-6yr	11.7	7.0	9.0	5.8	13.8	7.2	6.4	4.1	5.5	6.7	9.2	4.5	91.0
Fin 6-9yr	18.2	11.8	6.5	4.7	12.5	7.8	5.4	7.7	13.9	6.2	14.2	1.3	110.0
Fin 9-12yr	12.5	12.8	5.8	5.7	8.7	8.1	3.9	8.2	5.8	7.2	7.1	2.1	88.0
Fin 12yrs+	4.0	6.4	7.4	2.8	8.8	4.9	2.8	4.8	3.9	4.9	10.7	0.6	61.9

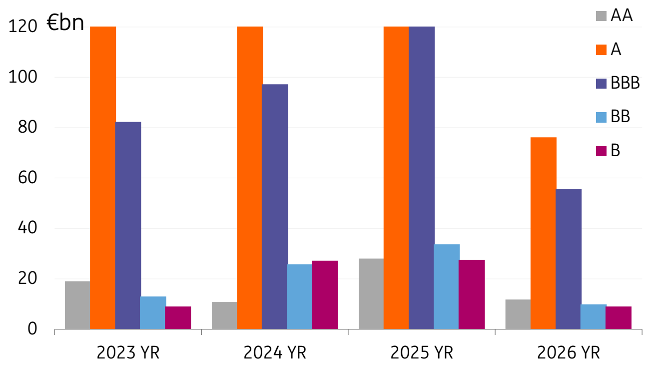
Source: ING. Dealogic

Fig 16 Corporate supply per S&P rating (€bn)



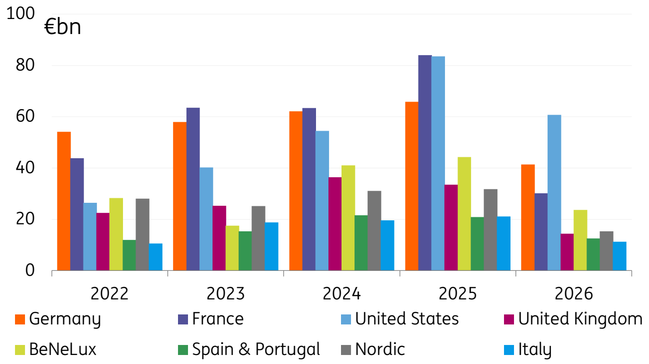
Source: ING. Dealogic

Fig 17 Financial supply per S&P rating (€bn)



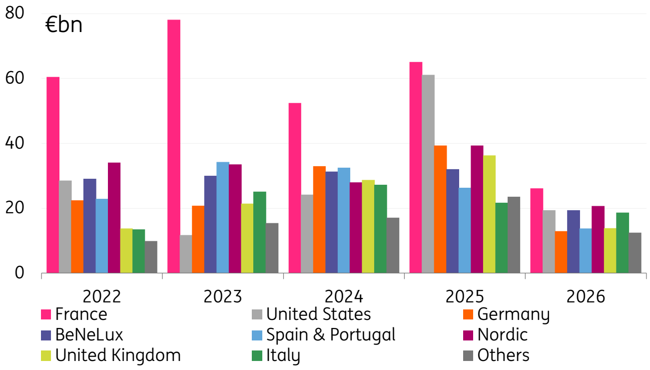
Source: ING. Dealogic

Fig 18 Corporate supply per country (€bn)



Source: ING. Dealogic

Fig 19 Financial supply per country (€bn)



Source: ING. Dealogic

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Article | 2 June 2026

CZECH REPUBLIC

Czech National Bank’s June meeting poised to be live; reasoning will be key

Inflation likely decelerated in May and should remain below the upper bound of the target until October. A later surge may prove transitory, while the full impact of the Hormuz conflict is uncertain. The Czech National Bank may raise rates or stay on hold, but we see the latter as the better choice, even if the European Central Bank hikes rates

We think the CNB should wait to see the impact of the Hormuz crisis before hiking rates

Future inflation pick-up to be transitory

Czech inflation likely softened to 2.3% year-on-year in May, while gaining 0.3% month-on-month, perfectly in line with the long-term May monthly average. Nevertheless, this subdued reading is driven by a drop in fuel prices, reflecting the government's cap on diesel margins at fuel stations. To take this effect on board, we apply a downward adjustment to the model forecast, which will likely fade over time once the cap is no longer binding.

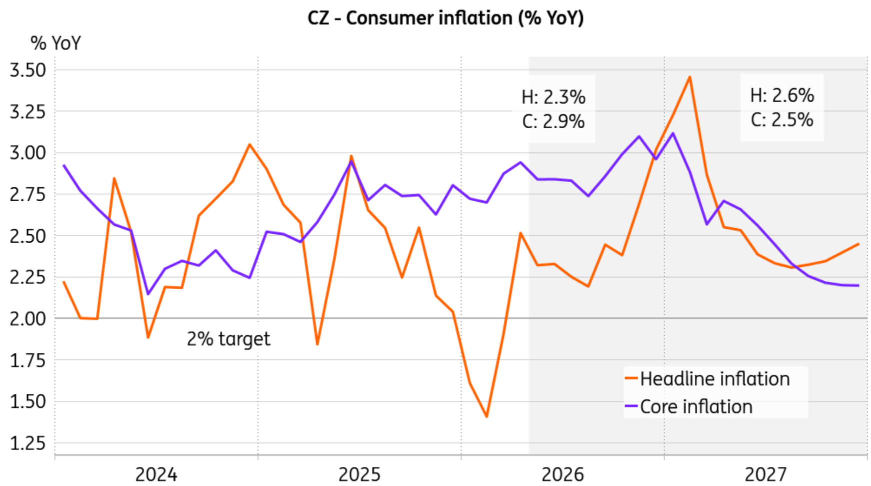
May's price level increase was likely subdued

May-26	% MoM	% YoY
Headline	0.3	2.3
Core	0.1	2.8
Food	0.9	0.1
Regulated	0.2	-1.3
Fuels	-1.2	28.5

Source: ING, Macrobond

In any case, we expect annual headline inflation to stay below 2.5% up until October and then to crawl up and reach a peak of 3.5% in February. That said, the annual quickening is significantly affected by a low comparison base from 4Q25, when regulated and food prices finally started to respond to the ultra-low global energy prices (Brent average at $62 in 12/25) and by a strong koruna (USD/CZK average at 20.7 in 12/25). And while looking at our CPI forecast, we don't currently predict any substantial upward monthly moves, except for January when regulated prices will plug in the currently elevated oil prices.

Both headline and core set to ease throughout next year



Source: CZSO, ING, Macrobond

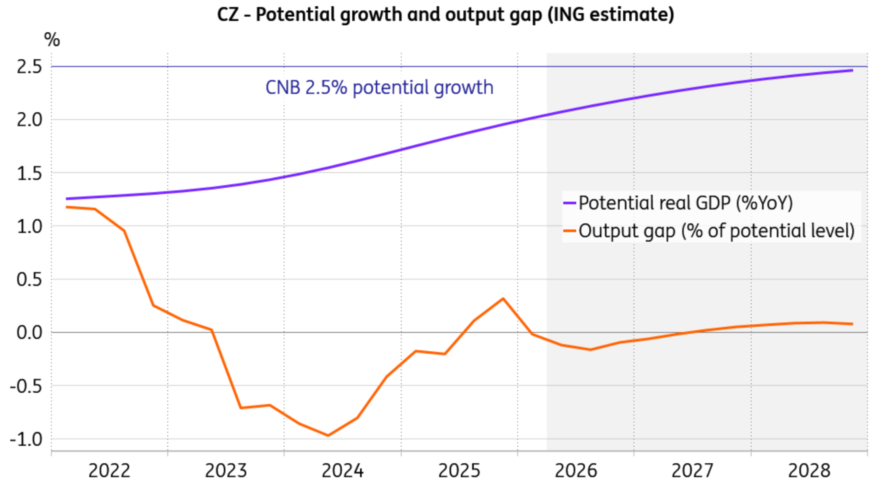
Core inflation remains a pain point, with services prices and rents continuing their upward trend, supported by buoyant real wage gains. Yet even here, when looking at the seasonally-adjusted profile ahead, we don't forecast any significant monthly gains. We see the economy slowing down in response to the Hormuz turmoil, pushing the output gap back into negative territory and somewhat blunting the inflationary edge.

Clear and distinct idea always provides an edge

On the CNB's reaction function, and recent talk of potential tightening in June, it is important to distinguish between responding to the inflationary effects of the global supply shock and reacting to underlying domestic conditions. Indeed, we should strive to approach the clear and distinct idea championed by René Descartes. If the driver is the Hormuz-related shock, we believe that we could still see negative effects on the real economy in 2Q26 and maybe even beyond.

In such a case, we take the position that it's better to wait a little bit longer with a one-off rate hike. This would support the necessary hawkish talk and foster credibility and do little harm to economic activity. Waiting until August or September would be more appropriate when the consequences of the global negative supply shock have become clearer.

Output gap turns negative again in our view



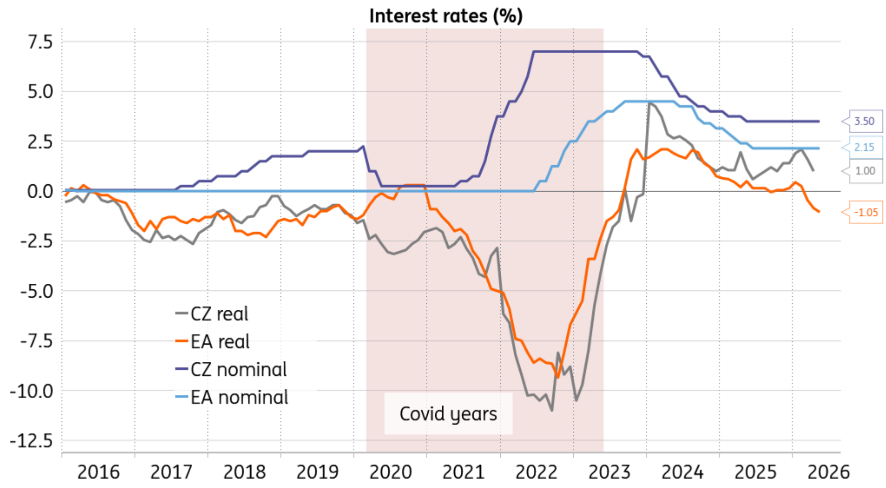
Source: ING, Macrobond

If domestic forces are at play, it is in the interest of any central bank to distinguish the underlying drivers and communicate them clearly, as open communication and credible forward guidance are powerful levers. I can imagine that the CNB sees continued growth in rents and services prices as a threat to price stability, assesses the continued growth of credit for residential purchases as excessive, or believes that the economy is overheating already and expects inflation to breach the upper bound of the target over the monetary policy horizon. Yes, the Czech economy will ultimately surpass its growth potential once the Hormuz conflict is resolved and all is going well again, but I doubt that we are there just yet.

The ECB is not an example to follow

There is a lot of discussion currently going on as to whether the CNB should follow suit if the ECB hikes rates this month. Well, the ECB faces a somewhat analogous situation, though an analogy, by definition, compares two distinct contexts that share only underlying similarities. In practice, the ECB's setup is materially different, with the scale of its challenge altering the policy positioning. With eurozone inflation accelerating to 3.2% in May and real GDP growth slowing to 0.8% year-on-year and 0.1% quarter-on-quarter in 1Q26, you could even say the region is edging close to stagflation. This marks a very different backdrop from that of the Czech economy.

CNB real interest rate remains restrictive



Source: Macrobond

Yes, the two economies face the same negative global supply shock, yet they entered the turmoil in different initial conditions, and the ultimate impact may vary in a decisive way, which we believe is the case. For instance, Czech real interest rates are firmly positive, while the eurozone's real interest rates have fallen deeply into negative territory. Looking at the monetary policy setup of other advanced economies and their economic performance, we believe that the next big macroeconomic topic is whether the eurozone's economy can sustain expansion with positive real interest rates. Well, who knows. Meanwhile, the Czech economy has already shown that it can.

Overall, the macroeconomic setup for Czechia and the eurozone are substantially different, and the ECB should not serve as an *exempla trahunt* case for the CNB. On the contrary, I believe that the ECB may be embarking on a monetary policy mistake, should the impact of Hormuz prove harsh in 2Q26. Of course, you usually don't choose to make a mistake, but are rather pressured by circumstances. My take is that the CNB is currently not yet pressured by circumstances and should refrain from rushing into hikes that may prove harmful to economic activity. Yes, the CNB's June meeting will be a live one, and if tighter monetary policy is the outcome, we will be waiting for the explanation with great excitement.

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Article | 2 June 2026 HUNGARY

Growth picks up in Hungary but will it last?

The detailed Hungarian GDP data for the first quarter paints a moderately positive picture. The main driver of the accelerated growth rate was the pre-election effect. While the change in power has the potential to result in prolonged momentum, there are also risks to the downside

The Hungarian economy has emerged from a prolonged period of stagnation

0.8%

GDP growth in 1Q (QoQ, swda)

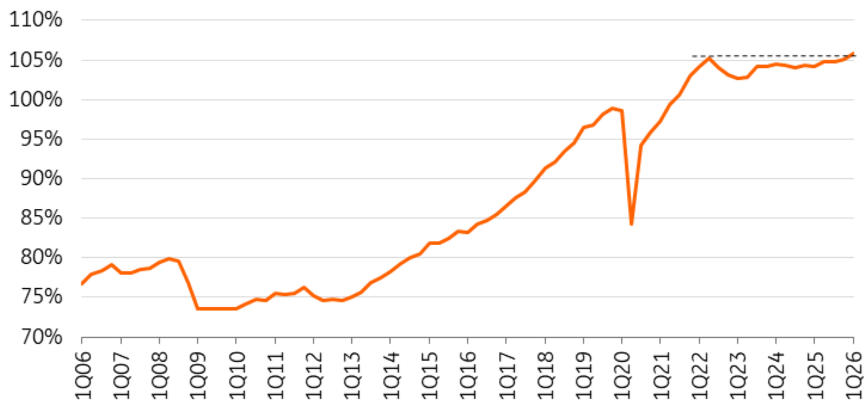
Previous 0.2%

Hungary's growth picked up in the first quarter, but much of the strength appears driven by temporary, pre-election factors rather than a clear, sustained recovery. Our latest economic growth forecast for 2026 projects a 1.5% increase. This generally gloomy outlook is partly due to the impact of the energy price shock, and partly due to the fading of the one-off factors seen in the first quarter. Overall, consumption could drive the Hungarian economy this year, while investment may show modest growth and net exports could significantly hinder GDP expansion.

One-offs in the present, threats in the future

Based on the detailed data, the outlook for the Hungarian economy has not changed much. A number of specific positive factors are emerging that are behind the strong economic performance. Whether the surge in consumption proves sustainable depends on how long the 'honeymoon period' lasts. For now, however, consumer confidence continues to rise, which is certainly a positive sign. Stagnation in investment is preferable to a sustained decline. However, the review and temporary suspension of certain public investments by the previous administration could lead to a downturn in the short term, before investment activity begins to pick up towards the end of the year. Moreover, export growth may be limited by geopolitical uncertainty, rising production costs and potential supply chain issues due to the effective closure of the Strait.

Real GDP in Hungary (2021 = 100%)

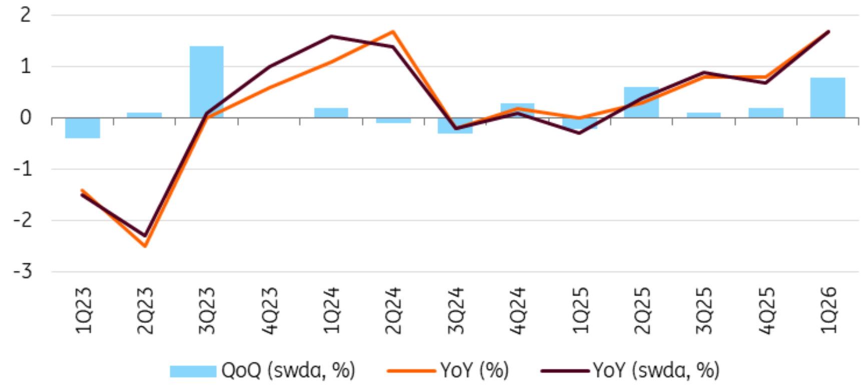


Source: HCSO, ING

Hungarian economy starts finding its momentum

The Hungarian Central Statistical Office (HCSO) has not revised its flash first-quarter GDP figures. The Hungarian economy continued to grow by 0.8% on a quarterly basis in the January–March period. The seasonally and calendar-adjusted year-on-year index shows an increase of 1.7%. Over the past four quarters, the Hungarian economy has shown growth on a quarterly basis but has also grown in five of the past six quarters. Based on this, it can be concluded that the Hungarian economy has finally emerged from a prolonged period of stagnation.

Hungarian GDP growth



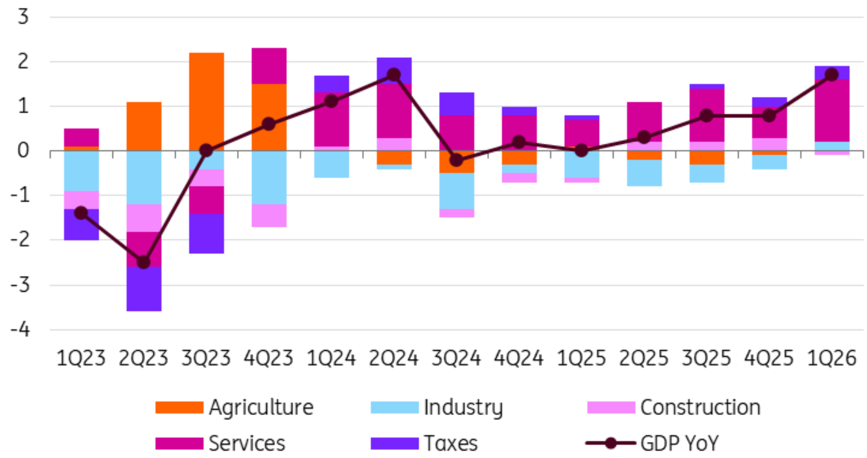
Source: HCSO, ING

Detailed data on quarter-on-quarter changes

First, we will examine the most important quarterly growth indicators. On the production side, agriculture expanded significantly. Although it accounts for only a small proportion of the overall economy, this contributed to the strong start to the year. Meanwhile, the industrial sector grew by 1.1%, which was broadly in line with expectations based on monthly industrial production data, especially given its strong performance in March. The construction sector showed a significant decline, also in line with monthly data.

The service sector as a whole performed well too, with growth observed in nearly every sub-sector, with a few exceptions. There was a particularly significant surge in professional, scientific and technical activities. This may be partly due to technical orders related to the “Home Start” programme and partly due to the increase in marketing and research activities ahead of the elections. Additionally, the “accounting rush”, which is typically observed every four years at this time, may have played a role in ensuring that government payments could be made on time before the election. The drastic increase in the budget deficit in March supports this idea.

Contributions to GDP growth – production side (% YoY)

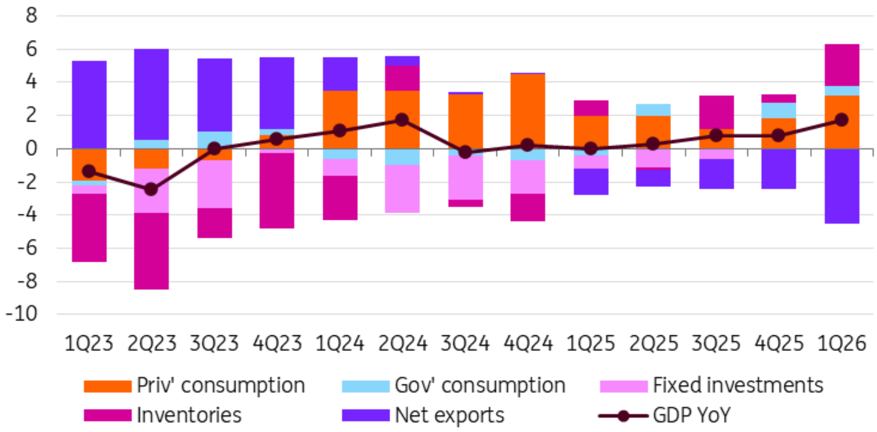


Source: HCSO, ING

The performance on the production side is largely reflected on the expenditure side. Industry expanded substantially, and industrial exports grew accordingly on a quarterly basis. Although this expansion amounts to only 0.7%, it is the most dynamic growth rate of the past three and a half years. Gross capital formation also surged significantly, with gross inventory rising by 9% compared to the last quarter of 2025, while investment activity stagnated. In other words, growth is the result of the inventory effect. This may be due to the launch of new production capacities, where initial production or test runs are aimed at building inventory rather than generating sales for now. Furthermore, investments that are essentially complete but have not yet been phased into the books may also have been accounted for here.

The country's energy consumption surged at the beginning of the year due to the extreme cold weather, leading to a significant increase in goods imports on a quarterly basis. Last and most importantly, the real driving force behind economic growth was consumption. At 1.5%, the quarterly increase was the highest growth rate since the third quarter of 2024. This surge comes from slowly rising consumer confidence combined with a significant increase in real disposable income.

Contributions to GDP growth – expenditure side (% YoY)



Source: HCSO, ING

Positive signs from most of the sectors

As for the traditional year-on-year growth indicators, all sectors except construction and real estate activities expanded, thereby contributing to GDP growth of 1.7% to varying degrees. While the 2.3% growth in services can be described as strong, the 1.3% growth in manufacturing also represents a significant improvement.

Based on year-on-year indices, domestic demand increased significantly in the first quarter of 2026, while exports continued to shrink and imports grew substantially. In other words, the structure of economic growth has not changed compared to recent quarters; it has simply become more imbalanced. Net exports alone slowed the economy's year-on-year performance by 4.5ppt, a figure offset by a 6.2ppt contribution from domestic demand. Consumption and inventory accumulation provided nearly equal contributions as drivers of growth.

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Article | 2 June 2026 FX

FX Daily: Markets reluctant to price in more JPY interventions

Implied volatility remains low in USD/JPY – like the rest of the G10. That is despite USD/JPY approaching the key 160.0 mark again at the start of a seasonally strong month. The bar may be higher than in April, but markets may be underpricing new intervention risk. Market drivers today include US JOLTS and eurozone CPI data, alongside a focus on Gulf headlines

USD/JPY is retesting 160.0

USD: Volatility remains exceptionally low

FX volatility has continued to plummet, with the widely watched CVIX index falling below 6.0 for the first time since March 2024. The FX market looks just as reluctant to price in a re-escalation in the Middle East this morning as it was to price in an imminent peace deal in recent days. Brent's rapid return below $95 in the Asian session suggests broader sentiment is improving again, despite headlines that US-Iran negotiations have collapsed once more.

The 99.0-99.50 range in DXY remains the 'comfort zone' for now. That embeds lower oil prices but also reflects the broadly stronger macro backing for the dollar. In our view, the latter factor could be reinforced by this week's US data calendar.

After a strong manufacturing ISM yesterday, focus turns to the April JOLTS jobs report. Layoffs will be closely watched following the March pickup, but consensus looks for stabilisation and no change in job openings. The net impact on the dollar should be neutral in that case, leaving Middle East headlines as the sole driver.

Francesco Pesole

EUR: Eurozone core CPI starts creeping up

Eurozone flash inflation is set to rise from 3.0% to 3.2% in May. Core inflation is also expected to tick up, from 2.2% to 2.4% – unwelcome for the ECB, though not enough to raise immediate alarm. It should, however, support a hawkish tone alongside a highly likely rate hike at next week's meeting (preview here).

The somewhat surprising decline to 2.9% in 3-year CPI expectations in April is probably a testament to the importance of the ECB keeping tightening expectations elevated to prevent any de-anchoring.

EUR/USD went through the usual Gulf-driven swings yesterday, but like the rest of the G10, it's showing much more muted volatility. Once – if – a peace deal is ultimately signed, the euro can attempt a return to 1.180, but don't expect the pair to price much optimism only based on constructive headlines.

Francesco Pesole

JPY: Risk of new interventions a bit underpriced

USD/JPY short-term implied volatility (1 week to 3 months) has followed the broader drop in G10 volatility, failing to show the risk of renewed FX intervention as the pair nears 160.0. Markets may be assuming the BoJ will wait to see whether a 16 June hike (19bp priced) can cap USD/JPY.

After the largest intervention since 2004 in April-May, there is also a growing sense that such a pace cannot be sustained. It may also reflect market expectations of restraint given the IMF's guideline of a maximum of three intervention episodes within any rolling six-month window to preserve "free-floating" status.

Still, the risk of new intervention does look a bit underpriced, considering Japanese authorities have remained rather hawkish with their intervention narrative. The new bar may be set well above the 160.60 level where they intervened in April, perhaps 162-163.

We think markets will keep testing the topside in USD/JPY, also considering June is a seasonally weak month for the yen.

Francesco Pesole

PLN: NBP can wait a bit longer

The National Bank of Poland is widely expected to keep rates unchanged at 3.75% today. Only four weeks have passed since the last meeting, with little new information since then. In addition, Friday's softer-than-expected inflation print at 3.1% argues for patience, while the next forecast round will not be available until July. In our view, today's meeting is mainly a check-in on current conditions, with any potential policy decision likely deferred. With inflation still inside the tolerance band, our baseline remains unchanged for longer.

More attention will be on Governor Adam Glapinski's press conference tomorrow, which may offer clearer guidance on the central bank's sensitivity to renewed inflation pressures. While the link between oil prices and PLN rates has weakened somewhat in recent days, global drivers still dominate. The market cut back hike expectations sharply after last week's global rally, with Friday's softer inflation reading reinforcing the no change. That said, yesterday's global headlines brought payers back into CEE markets, and Poland now has around 60bp of tightening priced over the next 12 months.

As we discussed yesterday, it remains unlikely that the market will fully unwind current hike pricing, and we see a floor at roughly 1.5 hikes. In FX, EUR/PLN rebounded from the lower end of its recent range yesterday but still lacks a stronger directional catalyst. A more compelling scenario would emerge if the ECB delivers a June hike while the NBP stays on hold for longer, which could increase pressure on PLN through a wider rate differential and pressure on the current account.

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